CHAPTER II.

DEFINITIONS AND HISTORICAL SUMMARY.

Characteristics of Corporate Existence. The most usual distinguishing characteristics of a corporation are: limited liability of individual members for the debts of the corporation, continuing existence irrespective of change of membership or stock-ownership, and centralized control of property and interests. To these may be added the necessary condition of corporate existence: origin and definition of legal powers in an enabling act of the State. A frequent, though not essential concomitant of corporate organization is large concentration of capital. This latter characteristic, however, is an economic reason for incorporation, rather than a quality usually thought of as inherent in the nature of corporate organization.

When a criterion is sought by which to draw a line between an incorporated and an unincorporated body, no one of the above-named characteristics can be taken as an absolutely certain guide. Limited liability is not such a criterion. There are corporations the liability of whose members is unlimited, and there are unincorporated companies whose members enjoy limited liability.[5] Moreover, there are numerous degrees of limited liability. Usually each member is liable only to the trustees of a bankrupt corporation or to its creditors for the debts of the corporate body, to the extent of the unpaid par value of the shares which he holds. But shareholders of national banking corporations are made liable for twice the par value of the shares held by them in addition to amounts unpaid on their subscriptions to the capital stock.

Continuous succession—that is, the capacity for transfer or transmission of shares without interruption to the continuing

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[5] Arthur W. Machen, Jr., Corporate Personality, Harvard Law Review, March, 1911, p. 350.

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